

CONSOLIDATED FINANCIAL STATEMENTS

In an era of globalization, large corporations are now commonly made up of multiple companies. Companies owned by a parent company are known as subsidiaries, and continue to maintain their own accounting records, but the parent company produces a consolidated financial statement, which shows the financial operations of both companies. Depending on the jurisdiction's reporting requirements, however, if a company owns a minority stake in a second company, then the latter will *not* be included in the former's consolidated financial statement.



NEED TO KNOW

- **Subsidiary** One company that is controlled by another, usually a holding company
- **Holding company** A company set up to buy shares of other companies, then control them
- **Globalization** The process of businesses developing such large multinational presences that they transcend international borders

Our performance indicators



Performance indicators are common across all industries. They measure areas such as customer satisfaction and the quality of goods or services provided by the company.

Directors' report



In the directors' report, members of the board of directors give their professional opinions on how the business has performed over the last year.

Environmental accounting



The environmental accounting section contains figures that pertain to the environment, often those stipulated by law—for example, greenhouse gas emissions.

Independent auditor's report



Auditors are independent and check the accuracy of companies' accounts. This helps to eliminate mistakes and track fraud.

Board of directors



The board of directors, governance report, and statement of directors' responsibilities sections indicate who is leading the company, showcases their credentials and roles, and reveals their pay.

Notes to the accounts



Notes to the accounts are a key part of financial statements. They provide extra detail, insight, and explanation of the bare-bones figures supplied in earlier pages of the report.